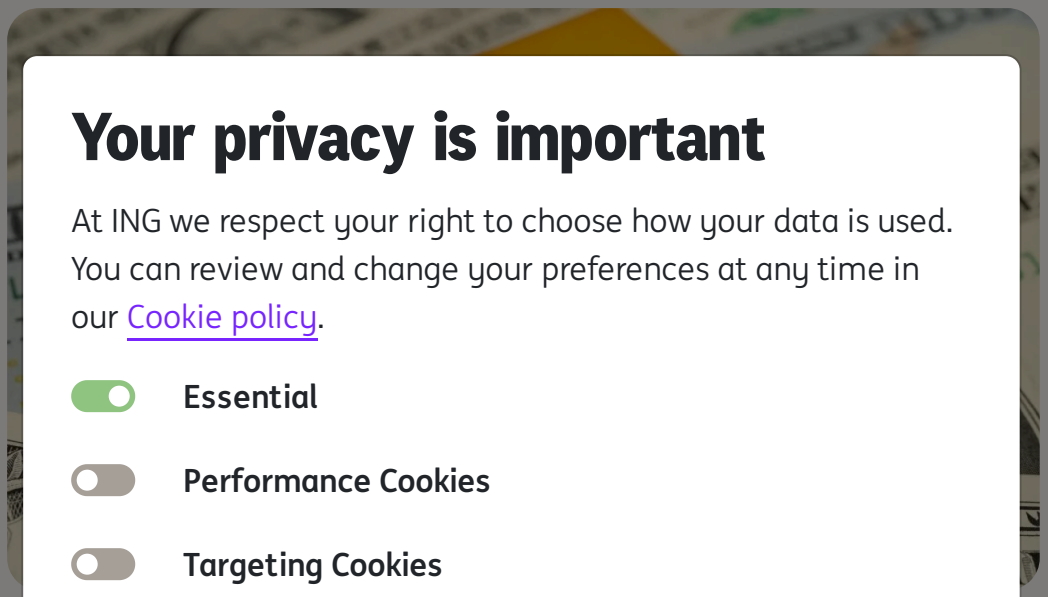
A firmer dollar and higher US yields have weighed on metals, pushing copper and gold lower. Iron ore has also weakened, while oil slipped as Middle East supply recovered




Ewa Manthey and Warren Patterson



Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

Save preferences

Accept all

E rebounds

Oil prices edged lower this morning, with Brent around $91/bbl as recovering Middle East supply eased immediate concerns over availability. OPEC crude production increased by almost 2m b/d in October to 27.16m b/d, led by Saudi Arabia, Iraq and Kuwait. Saudi production climbed to 9.2m b/d, close to pre-war levels, while Iraq produced almost 4.5m b/d.

Regional crude flows are approaching pre-war levels, but exports continue to rely on alternative routes around the Strait of Hormuz, leaving supply vulnerable to further disruption. OPEC kept its demand forecasts unchanged, expecting global oil demand growth

of 200k b/d this year and 2.6m b/d in 2027. We expect volatility to remain elevated, with the pace of normalisation through Hormuz still the key driver for the outlook.

Metals – Copper drops to trade near four-month low

Copper traded near a four-month low this morning as renewed selling in technology stocks and a firmer US dollar weighed on the metals complex. LME prices briefly fell to $13,657/t. The market has pulled back from September's record near $15,000/t, with investors reassessing expectations for AI-related demand while uncertainty over US import tariffs remains unresolved. Further dollar strength c

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

supply weigh on the outlook.

In precious metals, gold extended its decline for a third session, slipping below $4,000/oz as stronger US inflation data and hawkish comments from Federal Reserve officials pushed Treasury yields higher. The market is increasingly pricing in the possibility of another rate hike, providing support to the dollar and weighing on non-yielding gold. Attention now turns to upcoming US inflation data and further comments from Fed officials. While higher rates and a stronger dollar could continue to weigh on gold in the near term, we remain constructive over the longer term, supported by central bank buying and safe-haven demand.

Commodities Feed

Content Disclaimer

This publication has been prepared by ING solely for information purposes irrespective of a particular user's means, financial situation or investment objectives. The information does not constitute investment recommendation, and nor is it investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument.

Read more

Share

Download

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies